Target | Edition A

Decision and initial view

Provisional action: watch/defer. The proposed user is a buy-side team with no current position in Target common stock (NYSE: TGT), using USD, an October 19, 2026 valuation date, and a proposed 12-24 month decision horizon. The working hypothesis is that recurring operating performance can recover modestly, while capital spending and competition limit the cash-flow benefit. No completed valuation range or price advantage has been established.

Reported evidence anchors

2025 financial history	Fiscal year ended January 31, 2026: net sales $104.780bn; adjusted operating margin 4.6%; total cash-flow-statement D&A $3.134bn; capex $3.727bn. [S1]
2026 update	Q2 sales growth was 5.3%. August 19 guidance indicated full-year sales growth around 5% and operating margin around 6%, including about 90bp of tariff-refund benefit. [S2]
Normalization issue	The Q2 release includes a $994m pretax tariff refund. Treat a repeat of that benefit as unproven, rather than building it into recurring margins. [S2]

Proposed assumptions | forecasts, not reported facts

Driver	FY2026	FY2027	FY2028	FY2029	FY2030
Net sales growth	4.0%	3.0%	3.0%	2.5%	2.5%
Recurring EBIT margin	5.0%	5.2%	5.4%	5.5%	5.5%
Capex / sales	4.5%	4.5%	4.0%	4.0%	3.75%
Total D&A / sales	3.0%	3.0%	3.0%	3.0%	3.0%
Operating tax rate	24.0%	24.0%	24.0%	24.0%	24.0%

Additional provisional inputs: WACC 9.0%; terminal growth 2.0%; inventory 61 days and trade payables 62 days of annual cost of sales, held constant initially. Other operating working-capital balances must be modeled separately. WACC and terminal growth are starting assumptions, not sourced estimates or validated control bounds.

FY labels follow Target's fiscal years. FY2026 is a current-year estimate, not five full future years from October 19. The completed DCF must handle the remaining current-year cash flow, elapsed periods, and discount timing explicitly. Terminal reinvestment and the D&A assumption must later reconcile to the fixed-asset schedule.

Model results, a final fair-value range, and completed validation are not asserted by this baseline.

What would change this view?

Basis, challenges, planned evidence, and decision conditions

Value / driver	Basis and challenge	Evidence that would change it
Sales: 4.0%, then 2.5%-3.0%	Allow for growth fading after the initial recovery. The first-year estimate is below management's update; that is a cautious draft judgment, not a sourced forecast.	Revise for sustained comparable-sales changes, new guidance, or evidence on store and non-merchandise growth. Do not count the same growth twice.
Margin: 5.0% to 5.5%	Assume gradual recurring improvement, not a permanent one-time refund boost. Recovery could fail if promotions or fulfillment costs rise.	Revise if reconciled recurring margin, markdowns, or cost guidance contradict the path. Preserve the reported-to-normalized bridge.
Capex: 4.5% to 3.75%; D&A 3.0%	Use an initial investment phase followed by some moderation. D&A is only an approximation until asset schedules are built.	Revise for verified capital plans, asset lives, or a PP&E roll-forward that does not support these ratios. No assumed cash benefit without the required investment.
Inventory 61 / payables 62 days	A starting turnover convention near the annual-history scale; not a claim that seasonal balances or supplier terms are constant.	Revise using verified averages, seasonal patterns, markdown risk, and supplier terms. Include other operating balances; exclude financing cash/debt.
Tax 24%; WACC 9%; terminal g 2%	Rounded placeholders for an initial view. They are not a completed tax study, cost-of-capital calculation, or terminal reinvestment model.	Replace or retain only after dated tax/risk/debt/equity evidence, sensitivity analysis, and sustainable-growth checks. Keep WACC above terminal growth.

Research and model plan

Build five-year articulated statements and derive FCFF from them; estimate WACC and a sustainable terminal period; complete the cash/debt/other-claims bridge and diluted share definition. Freeze a peer policy before selecting peers, then compare at least one enterprise and one equity multiple. Explain disagreement across methods. Test causal low/base/high cases, WACC-growth sensitivity, reverse DCF, and one-at-a-time operating sensitivities using alternative justified ranges. No scenario values have been calculated in this baseline.

Validation plan

Planned checks: reconcile reported and normalized base-year figures; test yearly balance-sheet and cash articulation, the equity bridge, DCF boundaries, and multiple definitions; reconcile a course known-answer case; independently check a material source; preserve a highest-risk failure test and clean-environment run. Complete the separate protected changed-input record under its AI-off rules. These are planned checks, not completed results.

Monitoring and action conditions

Proposed review triggers: reconsider growth after two consecutive reports with non-positive year-on-year comparable sales; reconsider margin if updated recurring margin guidance falls below 5.0%; defer any action while source, accounting, or equity-bridge checks remain unresolved. An initiation proposal requires a validated range, verified market price, and an explicitly justified entry condition.

Evolution record

This draft was set without a supplied completed Target model. Freeze it after student review and compare it with subsequent evidence; allow agreement or disagreement. Do not change it later to manufacture an A-to-B gap. The original checkpoint page was not supplied, so this document does not certify acceptance under that page or establish a Brightspace receipt.

Sources

S1. Target FY2025 Form 10-K (SEC). Year ended January 31, 2026; printed pp. 29, 32-33, 48. **S2.** Target Q2 2026 earnings release. Published August 19, 2026; Guidance, Operating Results, tariff-refund note. Both accessed October 19, 2026.

Research Evolution - Edition B and comparison

Current record and boundary

Edition B uses the October 19, 2026, 4 p.m. Eastern valuation cutoff; snapshot target-audit-b7be55e9cbc05931. The preceding Edition A pages in this PDF are copied unchanged from the existing Target-Edition-A.pdf. The original files and original peer policy are preserved. This dated addendum does not establish an earlier checkpoint receipt or AI-off authorship. The Target baseline was prepared with assistance in this conversation; the required AI-use register records that provenance. Checkpoint receipt and eligibility for the company switch remain unverified. The student has confirmed watch/defer as the current recommendation. This does not establish an earlier checkpoint receipt or approval of every assumption.

Evidence-led comparison

Decision
Edition A: Proposed watch/defer; no valuation range
Edition B / reason: Current recommendation: watch/defer, confirmed by the student; conditional $86.04-$153.12. Agreement with the initial view is allowed.

Growth
Edition A: 4%, 3%, 3%, 2.5%, 2.5% FY2026-FY2030
Edition B / reason: Comparable-week path retained; add FY2031 at 2.5% to supply five full future years plus the remaining-year stub.

Margin
Edition A: Direct EBIT-margin path 5.0%-5.5%
Edition B / reason: Replace independent margin input with merchandise cost, SG&A and one D&A total; avoids double-counting overlapping drivers.

Investment
Edition A: Capex 4.5%-3.75%; D&A 3%
Edition B / reason: Retain as assumptions; PP&E rolls forward. D&A lives/allocation remain weak proxies. 4.50% capex exceeds the 4.47% reported historical reference maximum.

WACC
Edition A: Rounded 9% placeholder
Edition B / reason: 8.09% from 5.09% RF, 4.20% ERP, beta 0.901; debt cost/weights still qualified.

Terminal
Edition A: 2% starting growth
Edition B / reason: Retain 2%; explicitly fund growth at 12% incremental ROIC, 16.67% reinvestment. Neither return nor growth is a reported fact.

Seasonality
Edition A: 61 inventory / 62 payable days
Edition B / reason: Retain year-end turnover assumptions; use prior Q2-Q3 seasonal pattern to estimate October opening balances instead of interpolating to January.

Normalization
Edition A: Do not repeat tariff refund
Edition B / reason: Preserve $593m settlement, $250m transformation and $994m refund history; do not automatically remove recurring transformation costs.

Shares/claims
Edition A: Research planned
Edition B / reason: Latest reported cover count is August 21, 454.296736m; add 2.2m dilution proxy. Itemized other-claim adjustment -$306m; cutoff values remain estimates.

Comparisons
Edition A: Policy and multiple research planned
Edition B / reason: Original policy preserved. Dated amendment precedes new peer calculations. EV/EBIT and P/E now calculated; WMT/COST remain contextual.

Validation
Edition A: Plan only
Edition B / reason: 94 model checks, 20 tests, 12 published DCF answers and Week 2 mini-case; automated liquidity failure/reset and fresh environment logged. Human checks remain pending.

October 20 audit corrections

Earlier Step 6/7 reports remain historical records. Their $115.65 base value and partial bridge are superseded for current use. The audit corrected a false price-acceptance condition, cover-share date/count, weekly beta estimation, seasonal elapsed-period sales/cost allocation and finance-lease amortization. It also expanded full statements and multiple definitions in the app. The audit originally left price acceptance false. After reviewing the worksheet, the student accepted the disclosed provider convention for conditional use; the flag now reflects that actual decision, not official-auction verification.

An intermediate audit estimate near $119.08 included $780m of income-tax accruals in the financing bridge. The final classification keeps those balances as continuing operating tax float under the constant-balance/cash-tax convention; subtracting them again would double count that convention. Final other-asset/claim adjustment is -$306m, yielding **$120.79**, not that intermediate figure. This is a transparent convention correction, not a change made to reach a desired result.

Operating cases and methods

Low: weaker discretionary demand, more promotions and wage/fulfillment pressure; FY2027-FY2031 growth -1 percentage point, cost +0.8 points and SG&A +0.3 points versus base, with investment held to avoid a free cash-flow rescue. High: stronger demand and cost productivity; the actual input changes are frozen in visible_output.json. All cases share the same estimated cutoff and future FY2026 stub. Values are $86.04, $120.79 and $153.12. No scenario probabilities are assigned.

The WACC/g grid spans $95.89-$167.80; the broader combined operating/WACC/g stress spans $66.95-$211.88. These are chosen stress envelopes. The primary one-year sensitivity ranking is capex, cost, sales, SG&A; changing relative range widths changes it to sales, SG&A, capex, cost. Thus influence depends on the shock definition rather than an input's name alone.

Contextual trading premiums are not a Target fair-value range. Target's reported earnings include a one-time refund and its economics differ from Walmart/Costco. No mechanical average is used. Source dates, numerator definitions, fiscal periods and share calculations are exposed in data/audit-peer-comparisons.json.

Challenges and actual student disposition

The dated Assumption Review contains substantive review comments and proposed responses. It does not record a classmate conversation; the separate source-check response and conditional-policy decisions are recorded in data/student-decisions.json. Actual credited partner feedback, where required, remains pending. The student has now confirmed the filing share-count comparison, accepted the correction with cutoff/dilution qualifications, and retained watch/defer. Conditional assumptions, quarterly ownership, monitoring triggers and a 20% discount-to-base entry screen are accepted. The changed-input record now contains the original student prediction, real source/base snapshot, selected growth change0.03to0.07, before/after screenshots and displayed outcomes. The original text remains unchanged. Post-test restoration proof and the separately documented actual-decision/magnitude reconciliation remain open. The original long Step 5 challenge record had been overwritten before this audit; the current dated reconstruction is not described as the recovered original. OneDrive history may hold the original.

Sources and audit trail

Target FY2025 10-K; Target Q2 FY2026 10-Q. Detailed historical cells: data/historical-reported.json; raw SEC companyfacts and provider series: data/audit-2026-10-20/; beta calculation: beta-regression.json; published training answers: Week 3 Lab 5; run evidence: outputs/audit-check-log.json and outputs/audit-ui-check.json. Retrieval after the cutoff is disclosed; selected filing facts are filtered to filings available by October 19. Original A pages are not rewritten to agree with B.